CHAPTER L-03

LIFE INSURANCE PRODUCTS: TRADITIONAL

Chapter Introduction

The chapter introduces you to the world of life insurance products. It begins by talking about products in general and then proceeds to discussing the need for life insurance products and the role they play in achieving various life goals. Finally we look at some traditional life insurance products.

Learning Outcomes

A. Overview of life insurance products

B. Traditional life insurance products

A. Overview of life insurance products

1. What is a product?

To begin with, let us understand what is meant by a 'product'. In popular terms a product is normally just considered as a commodity or good that is brought and sold in the market.

It is necessary to understand that every Product is a bundle of features or attributes that confer certain benefits.

All Companies try to differentiate their products by making them more attractive to customers and offering different kinds of features and benefits. A life insurance agent's role is to understand and pitch on these features and benefits to make the products of their companies unique and attractive compared to others.

Example

Colgate, Close up and Promise are all different brands of toothpastes. But the features of each brand is different from the other.

Products may be:

i. **Tangible**: refers to physical objects that can be directly seen or felt by touch (for instance a car or a television set)

ii. **Intangible:** refers to products that can only be perceived indirectly.

Life insurance is a product that is intangible.

2. Purpose of Life Insurance products.

Human beings possess **an immensely valuable asset - human capital – which is the source of our productive earning capacity.** However, there is an uncertainty about life and human well-being. Events like death and disease can destroy our Earning capabilities and life savings. Insurance provides protection for such situations.

Life insurance products offer protection against the loss of economic value of an individual's productive abilities, as a result of death or disability. The moment an individual takes a life insurance policy and pays the first premium, **an immediate estate is created** in his/ her name and its proceeds are available to his/ her dependents or loved ones.

Life insurance provides peace of mind and protection to the near and dear ones of an individual, in case of one' unfortunate death. Beyond providing such protection, life insurance fulfils other needs of the market, such as savings, wealth accumulation, safety and security of investment and certain rates of return, which are not discussed in this course.

Life insurance industry has seen enormous innovations in product offerings over the last two centuries. The journey began with death benefit products but over the period, multiple living benefits like endowment, disability benefits, dreaded disease covers and so on were added.

One of the major innovations of recent years was the creation of market linked policies where the insured was invited to participate in choosing and managing his investment assets. Another major innovation was the evolution of flexible unbundled products, in which different benefits as well as cost components could be varied by the policy holder as per changing needs, affordability and life-stages.

3. Suitability Information

In order to make insurance intermediaries including agents and brokers more accountable and reduce instances of mis-selling, IRDAI has created a concept of 'product suitability'. 'Suitability information' is the information of a prospect on age, income, family status, life stage, financial and family goals, investment objectives, insurance portfolio already held, etc. That is, before selling an insurance policy to a client, an Agents should be able to justify the suitability of the product for the client's needs.

In other words, the Agent takes into account the particular prospect's risk profile - age, income, family status, life stage, financial and family goals, investment objectives, insurance portfolio already held, insurance needs etc. and decides whether the product is suitable for that prospect. The nature of product, the amount of premium, the mode of premium payment and tenure of the policy as well as the manner of premium payment are also part of the parameters of 'Suitability'.

IRDAI mandates that the suitability information collected should be signed by the prospect and the agent; and preserved by the Insurer as part of the policy records and made available for inspection by the Authority.

4. Riders in Life Insurance Products

A rider is a provision typically added through an endorsement, which becomes part of the contract. Riders are commonly used to provide supplementary benefits like increasing the amount of death benefit provided by a policy, say, because of accidents. Life insurance companies offer a number of riders through which the value of their offerings get enhanced Riders help to customise different requirements of a person into a single plan.

Riders provide a means to provide benefits like Disability cover, accident cover and Critical Illness cover as additional benefits in a standard life insurance contract. Policy holders can avail of them by paying an extra premium.

Test Yourself 1

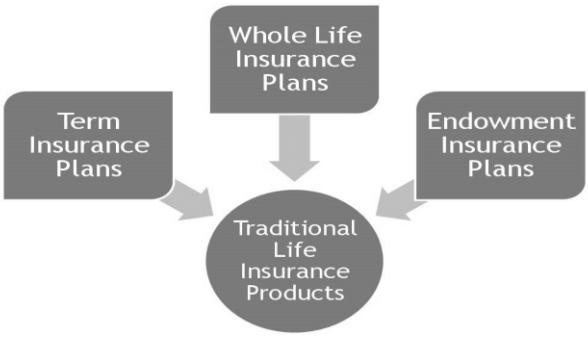
Which among the following is an intangible product?

I. Car
II. House
III. Life insurance
IV. Soap

B. Traditional life insurance products

We shall now learn about some of the traditional types of life insurance products.

Diagram 1: Traditional Life Insurance Products



1. Term insurance plans

Term insurance is a contract that is valid only during a certain time period. This may range from the short time required to complete an airplane trip to multiple years. Protection may extend up to age 65 or 70. One-year term policies are quite similar to property and casualty insurance contracts. There is no savings or cash value element in this policy.

In October 2020, IRDAI has introduced a Standard Individual Term Life Insurance Product called, "Saral Jeevan Bima" (the Insurer's name shall be prefixed to the product name), a non-linked non-participating individual pure risk premium life insurance plan, which provides for payment of Sum Assured in lump sum to the nominee in case of the Life Assured's unfortunate death during the policy term.

Apart from certain benefits and riders specified by the Regulator, no other riders/ benefits/ options/ variants are allowed to be offered. Also, there shall be no exclusions under the product other than the suicide exclusion. Saral Jeevan Bima is to be offered to individuals without restrictions on gender, place of residence, travel, occupation or educational qualifications.

a) Purpose

A Term Life insurance plan fulfils the main and basic idea behind life insurance, which is to provide an assured sum of money to the dependents of the insured on his/ her death.

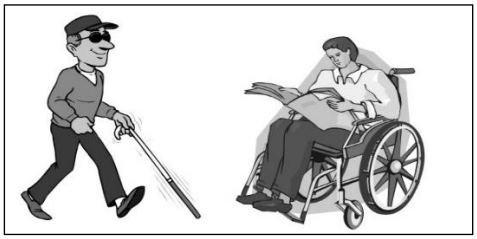
The policy works as an income replacement plan also. Here the payment of a lump-sum amount is replaced by a series of monthly, quarterly or similar periodical payments to the dependent beneficiaries.

b) Disability

Normally a Term insurance policy covers only death. However, it is possible to buy a Disability Protection Rider on the main policy. In such a case, if the insured suffers from a specified disability during the term of the contract, a disability

benefit would be paid to the beneficiaries/ insured person. The benefits will continue till the death of the insured person.

Diagram 2: Disability



c) Term insurance as a rider

Protection under Term Life is usually provided as a stand-alone policy but it could also be provided through a rider in a policy.

Example

A rider to a pension plan provides for a death benefit to be payable if one dies before the date when pension is to start.

d) Convertibility

Convertible term insurance policies allow a policyholder to change or convert a term insurance policy into a permanent plan like "Whole Life" without providing fresh evidence of insurability. This privilege helps those who wish to have permanent cash value insurance but are unable to afford its high premiums. When the term policy is converted into permanent insurance the new premium rate would be higher.

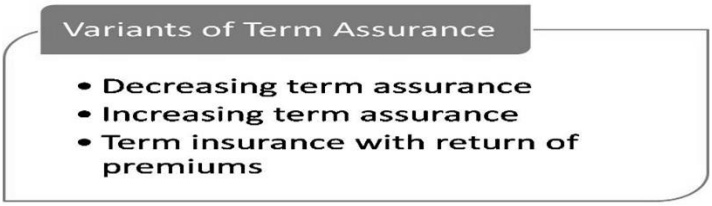
e) Unique Selling Proposition (USP)

The unique selling proposition (USP) of term assurance is its low price, enabling one to buy relatively large amounts of life insurance on a limited budget.

f) Variants

A number of variants of term assurance are possible.

Diagram 3: Variants of Term Assurance



i. Decreasing Term Assurance

These plans typically consist of decreasing term insurance which provides an amount of death benefit that is equal to the balance that is due on a loan, if the borrower dies before the loan is paid. These are often marketed as Mortgage Redemption (discussed in Chapter 15) or Credit Life Insurance. The plans are

usually sold to lending institutions as group insurance to cover the lives of their borrowers. Purchase of mortgage redemption insurance is often a condition of the mortgage loan. Such plans may also be available for automobile or other personal loans.

ii. Increasing term assurance

As the name suggests, the plan provides a death benefit, which increases along with the term of the policy. Premium generally increases as the amount of coverage increases.

iii. Term insurance with return of premiums

Another type of policy (quite popular in India) is term assurance with return of premiums. Though the premium paid would be much higher than for a similar term insurance plan without return of premiums, some customers may need such policies.

g) Relevant scenarios

Term insurance may have relevance in the following situations:

i. Where the need for insurance protection is purely temporary, as in case of mortgage redemption
ii. As an additional supplement to a savings plan.
iii. As part of a "buy term and invest the rest" philosophy, where one seeks only cheap term insurance protection from the insurance company and wants to invest the difference of premiums in other attractive investments.

Important

Limitations of term plans: Term Insurance plans are available only for specific periods and one may not be able to continue the coverage beyond a certain age, say 65 or 70.

2. Whole life insurance

Whole life insurance is an example of a permanent life insurance policy. Here, the life insurer offers to pay the agreed death benefit when the insured dies, no matter when the death might occur. The premiums can be paid throughout one's life or for a limited time as specified.

Whole life premiums are much higher than term premiums as whole life policies are designed to remain in force until the death of the insured, and pay the death benefit anytime. The Plan also provides for a cash value in the policy holder's account. He/ she can withdraw cash in the form of a policy loan from this cash value or even redeem it by surrendering the policy for its cash value.

In case of outstanding loans, the amount of loan and interest get deducted from the pay-out to the beneficiaries upon death.

A whole life policy is a good plan for the main earner of the family who wishes to protect his/ her loved ones in the event of premature death and preserve his/ her capital against erosion from various events like terminal illness. One can also use the cash value of the whole life insurance policy for retirement needs, if

required. Whole life insurance thus plays an important role in household saving and creating wealth to be passed on to the next generation.

3. Endowment Assurance

It is a contract in which the sum assured is payable to the nominees of the insured in case of the death of the insured during the term of the policy. If the insured survives the term the sum assured is paid to the insured.

The product has both death and survival benefit components. Endowment Assurance links one's insurance and savings programmes by offering a safe and compulsory method of savings accumulation.

People buy endowment plans as a sure method of providing against old age or for meeting specific purposes like having a fund for (a) educational purposes, (b) meeting children's marriage expenses or(c) paying a mortgage (housing) loan.

Government usually offers tax benefits on the premiums paid, which make it attractive. Many endowment policies mature at ages 55 to 65, when the insured is planning for his/ her retirement. In such cases such policies can supplement retirement savings.

Variants: Endowment assurance has certain variants - discussed below.

4. Money Back Policy

The Money Back policy is a popular endowment plan in India. It has a provision for returning some part of the sum assured in instalments during the term and the balance sum assured at the end of the term.

Example

A Money Back policy for 20 years may provide for paying survival benefits of 20% of the sum assured each at the end of the 5th, 10th and 15th years and the balance 40% at the end of the full term of 20 years. If the life assured dies at the end of, say 18 years, the full sum assured and bonuses (explained in the next section) accrued are paid as death benefit, even though the insured would have been paid a benefit of 60% of the face value already, as money back.

Money Back plans have been popular because of their liquidity (cash back) element, which make them attractive for meeting short and medium term needs. Such plans provide full death protection also, if the individual dies at any point during the term of the policy.

5. Participating (Par) and Non-Participating (Non-Par)Plans

The Life Insurance products can also be classified as Participating (Par) and Non-participating (Non-Par) products. The term "Par" implies policies which are participating in the profits of the life insurer. "Non–Par", on the other hand, represents policies which do not participate in the profits. Both kinds are present in traditional life insurance. Under all traditional plans, the pooled life funds, which are derived from policyholders' premiums, are invested as per regulatory norms. Policy holders who opt for 'par products' are eligible to receive, in addition to a

guaranteed sum assured, a share in the surpluses(bonuses) that are generated by the insurer. These are known as 'With Profit' plans.

6. Non-participating products

The Policy holders who buy non-linked without profit [non par] plans are paid a benefit that is fixed and guaranteed at the beginning of the contract and nothing more. Non-participating products may be offered either under a 'linked platform' or a 'non-linked platform'. These are known as 'Without Profits' plans.

Example

One may have an endowment policy of twenty years providing a guaranteed addition of 2% of sum assured for each year of term, so that the maturity benefit is sum assured plus a total addition of 40% of the sum assured.

Under the IRDAI's guidelines on traditional non-par policies, the benefits to be paid on the happening of a specified event, have to be explicitly stated at the outset and not linked to an index or benchmark. The same applies to additional benefits that are accrued at regular intervals. This means that the return on these policies must be disclosed at the time of taking the policy.

Important

Death benefits are subject to regulations of IRDAI issued from time to time. At present, as per the new Regulation 9 of IRDAI (Non-linked) Products Regulation, 2019 pertaining to traditional products, the minimum death cover is as follows:

For all non-linked individual life insurance products, the minimum Sum Assured on death during the entire term of the policy shall not be less than 7 times the annualized premium, for limited or regular premium products, and 1.25 times the single premium for single premium products.

For participating products, in addition to the sum assured on death, the bonus and additional benefits as stated in the policy and accrued till the date of death shall become payable on death as part of the death benefit, if not paid earlier. In essence, there are **two variants**, participating and non-participating plans.

i. For **participating polices** the bonus is linked to the investment performance of the fund and is not declared or guaranteed before. The **bonus, once it is announced, becomes a guarantee**. It is usually paid in case of death of the policyholder or maturity benefit. This bonus is also called **reversionary bonus**.
ii. In case of **non-participating policies**, the return on the policy is disclosed in the beginning of the policy itself.

7. Pension Plans and Annuities

A pension plan is typically a fund into which money is paid during a person's employment years and from which money is drawn to support the person after his retirement from work in the form of periodic payments.

Pension plans are designed on group (usually employer driven) or individual basis. A group pension may be a "defined benefit plan", where a fixed sum is paid regularly to a person, or a "defined contribution plan", under which a fixed sum is invested which becomes available at retirement age. Pensions are essentially guaranteed life annuities, thus insuring against the risk of longevity. A pension created by an employer for the benefit of an employee is commonly referred to as an occupational or employer pension.

On retirement, the money in the member's account is used to provide retirement benefits, typically by purchasing an annuity which then provides a regular income. An annuity is a long-term investment issued by an insurance company designed to help protect one from the risk of outliving one's income. Through annuitization, one's contributions are converted into periodic payments that can last for life.

Individuals can avail of pension benefits by purchasing pension plans from insurance companies. Pension plans can be **on accumulation or deferred basis** which allows a person to contribute in two ways, (i) in lump sum, or (ii) over a period of time; so that he/ she can get a pension from the desired age/ date (called as the 'vesting' date). One can opt to receive pensions/ annuities on monthly, quarterly, half-yearly or annual modes. Pension plans are available on an **immediate basis** also, from the very next month of purchase, on payment of a lump sum amount, called as immediate annuity.

The Indian insurance industry has several deferred and immediate annuity products marketed by Life Insurers. Each product has its own features, terms, conditions and annuity options.

Saral Pension: To provide uniformity across Insurers, to reduce confusion in the market about annuity schemes, and to make available a product that will broadly meet the needs of an average customer, in January 2021, IRDAI mandated all Life Insurers to introduce a standard, immediate annuity product, with simple features and standard terms and conditions on an individual (not group) basis. Such a standard product will make it easier for the customers to make an informed choice, enhance the trust between the Insurers and the insured, and reduce mis-selling as well as potential disputes.

The standard individual immediate annuity product is called, "Saral Pension", prefixed by the Insurer's name. The product offer two (and only two) annuity options as follows:

a) Life annuity with 100% Return of Purchase Price; and

b) Joint Life annuity with a provision of 100% annuity to the secondary annuitant on death of the primary annuitant and return of 100% Purchase Price on death of last survivor.

Mode of Annuity payment would be Monthly, Quarterly, Half-Yearly and Yearly. Details are available on IRDAI's website at the following link - https://www.irdai.gov.in/ADMINCMS/cms/whatsNew_Layout.aspx?page=PageNo4353&flag=1

Test Yourself 2

The premium paid for whole life insurance is _____ than the premium paid for term assurance.

I. Higher
II. Lower
III. Equal
IV. Substantially higher

Summary

- Life insurance products offer protection against the loss of economic value of an individual's productive abilities, which is available to his/ her dependents or to the self.
- A life insurance policy, at its core, provides peace of mind and protection to the near and dear ones of the individual in case something unfortunate happens to him or her.
- Term insurance provides valid cover only during a certain time period that has been specified in the contract.
- The unique selling proposition (USP) of term assurance is its low price, enabling one to buy relatively large amounts of life insurance on a limited budget.
- While term assurance policies are examples of temporary assurance, where protection is available for a temporary period of time, whole life insurance is an example of a permanent life insurance policy.

Key Terms

1. Term insurance
2. Whole life insurance
3. Endowment assurance
4. Money back policy
5. Par and non-par schemes
6. Reversionary bonus

Answers to Test Yourself

Answer 1 -The correct option is III.
Answer 2 - The correct option is I.